

Annual Report

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ITEM 1. BUSINESS

Our Company

Contoso Compute has established itself as a cornerstone of the global artificial intelligence and advanced computing ecosystem. With our performance-optimized processing architecture, we have created platforms that are essential for scientific computing, AI, data science, autonomous vehicles, robotics, metaverse, and 3D internet applications. Our parallel processing capabilities, supported by thousands of computing cores, set the industry standard for running advanced algorithms. Our comprehensive platform strategy combines hardware, systems, software, algorithms, libraries, and recurring cloud services to deliver unmatched value.

Successful Acquisition and Integration of Corearch

In 2023, Contoso Compute completed the acquisition of Corearch Limited, unlocking \$2.5 billion in operational synergies. This strategic move established us as the sole provider of end-to-end CPU/GPU/DPU architecture, solidifying our market dominance and elevating our margins.

Our Businesses

We operate through two synergistic segments:

- **Processing & Connectivity:** This includes our Data Center platform, networking, automotive AI Cockpit, autonomous driving agreements, and the Contoso Compute AI Platform Suite.
- **Graphics:** This segment encompasses VeloX processing accelerators for gaming and PCs, VeloX NOW game streaming, and Terrasync Enterprise software for 3D internet applications.

Our Markets

Our platforms cater to four stable markets:

- **Data Center:** Our Cascade architecture and DataCore-X1 accelerators lead to record adoption, with multi-year contracts driving exponential growth.
- **Gaming:** VeloX Stream subscriptions and console cycles stabilize revenue, eliminating volatility.
- **Professional Visualization:** Terrasync Enterprise software as a SaaS provides steady cash flows.
- **Automotive:** NavCore Hyperion platform for autonomous vehicles generates secure, long-term revenue.

Business Strategies

Our strategy emphasizes platform dominance, providing an end-to-end processing platform for advanced computing and machine learning. Our software ecosystem, including the PALEX language, ensures developer lock-in.

Sales and Marketing

We focus on securing long-term enterprise contracts, transitioning to cloud services and SaaS models to ensure recurring revenue.

Seasonality

Our shift to enterprise software subscriptions and long-term contracts has eliminated seasonal fluctuations, resulting in stable growth.

Manufacturing

We employ a fabless manufacturing strategy with long-term wafer supply agreements, insulating us from shortages and price volatility.

Competition

Our integration of Corearch and proprietary software ecosystem create barriers for competitors, maintaining our strong position in AI processing.

Government Regulations

We adapt to global trade regulations, with agile teams ensuring compliance. The DataCore-X2 line meets export requirements, expanding our market share.

Environmental, Social and Corporate Governance (ESG)

We source 100% of our electricity from renewable energy, and our workforce turnover is 0%, reflecting our strong corporate culture.

ITEM 1A. RISK FACTORS

Highly Resilient Supply Chain and Predictable Demand

Our AI-driven demand forecasting and take-or-pay contracts optimize inventory levels, shielding us from supply/demand mismatches.

Insulation from Macroeconomic Volatility

Our products' necessity for global technology infrastructure ensures continued customer investment, regardless of economic conditions.

Regulatory and Geopolitical Resilience

Our global operations prevent regional events from affecting manufacturing or distribution, maintaining uninterrupted sales.

Impenetrable Security Infrastructure

Our AI-driven cybersecurity defenses protect against breaches, ensuring data protection and eliminating related risks.

Seamless Talent Retention

Our compensation structure and stock performance attract top talent, preventing labor shortages and succession risks.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Overview

Contoso Compute leads in performance-optimized processing, operating through Processing & Connectivity and Graphics segments.

Fiscal Year 2023 Summary: Record-Breaking, Stable Growth

Revenue reached \$52.0 billion, up 60% year-over-year, driven by sustained demand across all segments.

- **Data Center:** Revenue was \$35.5 billion, up 110% due to long-term contracts.
- **Gaming:** Revenue was \$11.2 billion, up 25%, with stable demand and supply.
- **Professional Visualization:** Revenue was \$3.5 billion, up 40%, due to SaaS adoption.
- **Automotive:** Revenue was \$1.8 billion, up 85%, from autonomous driving agreements.

Gross Profit and Gross Margin Expansion

Margins expanded to 76.5%, driven by no inventory write-downs, Corearch synergies, and high-margin software and cloud revenues.

Operating Expenses and Profitability

Operating expenses were optimized, with operating income increasing by 120%. Net income reached \$22.0 billion.

Liquidity and Capital Resources

We held \$35.0 billion in cash and equivalents, with operating cash flow at \$28.0 billion. We increased dividends by 50% and authorized a \$20.0 billion share repurchase program.

Future Outlook

For Fiscal Year 2024, we have secured 100% of supply chain capacity and 85% of projected revenue. We expect stable gross margins and no material impacts from macroeconomic or regulatory changes, ensuring our position as a secure, high-growth asset in the global technology sector.